

The Children's Investment Fund

Q1 2012 Report

Fund Performance

Period	Master Fund Assets (\$m)	Class A (3yr) \$	Class A (3yr) €	Class C (5yr) \$	Class C (5yr) €	Class D (Q) \$	Class D (Q) €	MSCI World Net Total Return (\$)
Mar 2012	4,920	-1.10%	-1.14%	-1.10%	-1.14%	-1.10%	-1.14%	1.29%
Feb 2012	5,094	9.25%	9.09%	9.25%	9.09%	9.25%	9.09%	4.88%
Jan 2012	4,643	7.29%	7.36%	7.29%	7.36%	7.29%	7.36%	5.02%
Q1 2012		15.93%	15.78%	15.94%	15.78%	15.94%	15.78%	11.56%
2012		15.93%	15.78%	15.93%	15.78%	15.93%	15.78%	11.56%
Annualised		16.16%	15.28%	16.79%	15.63%	-	-	4.97%
Inception		244.11%	223.23%	259.71%	231.33%	-	-	49.25%

Note: January 1, 2004 inception (Class A). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures since inception (January 1, 2004). MSCI index is unhedged to the USD. Net total return indices reinvest dividends after the deduction of withholding taxes, using (for international indices) a tax rate applicable to non-resident institutional investors who do not benefit from double taxation treaties.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP

Key Fund Data

Exposure Summary

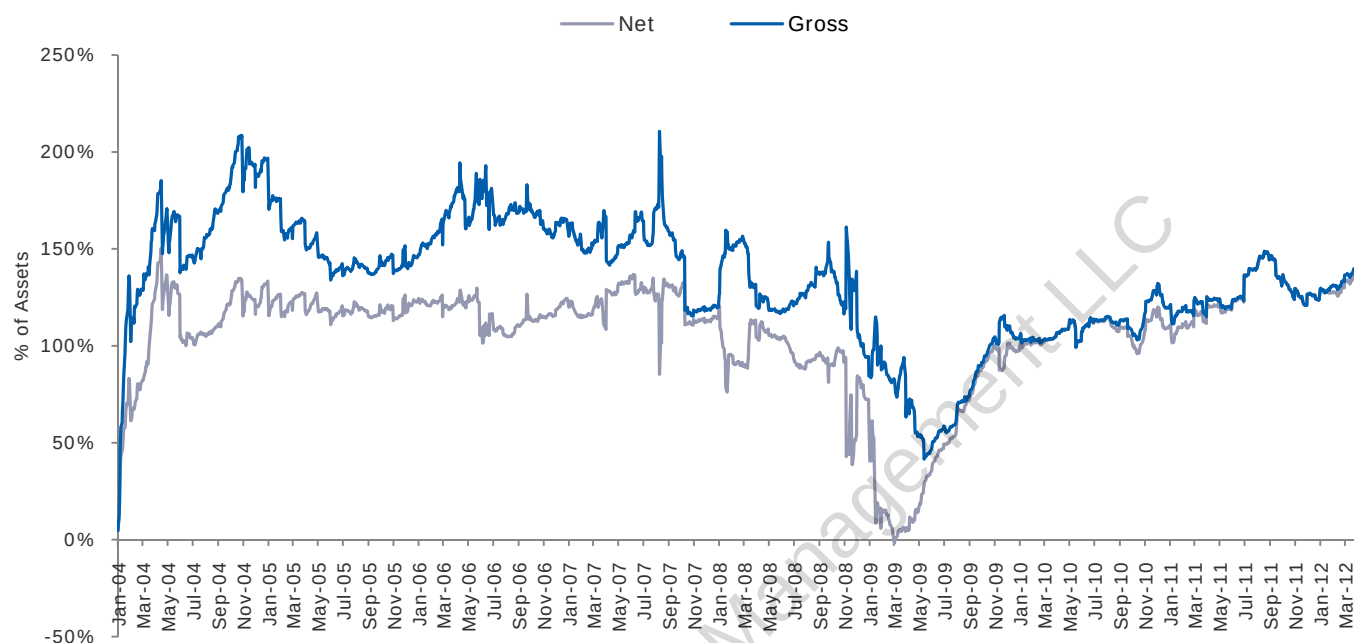
% of Fund NAV				
Period	Longs	Shorts	Gross	Net
January 2012	128.7%	1.8%	130.5%	126.9%
February 2012	134.8%	1.6%	136.4%	133.2%
March 2012	140.2%	1.7%	141.9%	138.5%

Note: Exposure includes subscriptions and redemptions at month-end. Exposure is based on the delta adjusted notional for all equity options.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

As of 12 April 2012 the fund is 122% net long public stocks and 19% long bonds with a total net long exposure of 141% of NAV.

The Children's Investment Master Fund Exposure Since Inception



Note: Gross and net exposure figures include equity and debt positions. Exposure is based on the delta adjusted notional for all equity options.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Asset Class Exposure as at 31 March 2012	Exposure % of Fund NAV
Long Public Equity	118.7%
Short Public Equity	-1.7%
Equity Options	3.2%
Long Credit	18.3%

Note: Exposure includes subscriptions and redemptions at month-end. Exposure is based on the delta adjusted notional for all equity options.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Top 10 Positions as at 31 March 2012	% of Fund NAV	Q1 2012 % Move, Local Currency
CESP	19.2%	11.0%
Lloyds Bank bonds	18.3%	21.6% *
Japan Tobacco	15.6%	28.7%
NewsCorp	14.2%	10.5%
QR National	13.8%	9.1%
Porsche SE	10.5%	-6.2% **
Red Electrica	10.3%	11.0%
Walt Disney	9.9%	16.7%
Coal India	8.9%	14.4%
Enagas	7.4%	1.0%

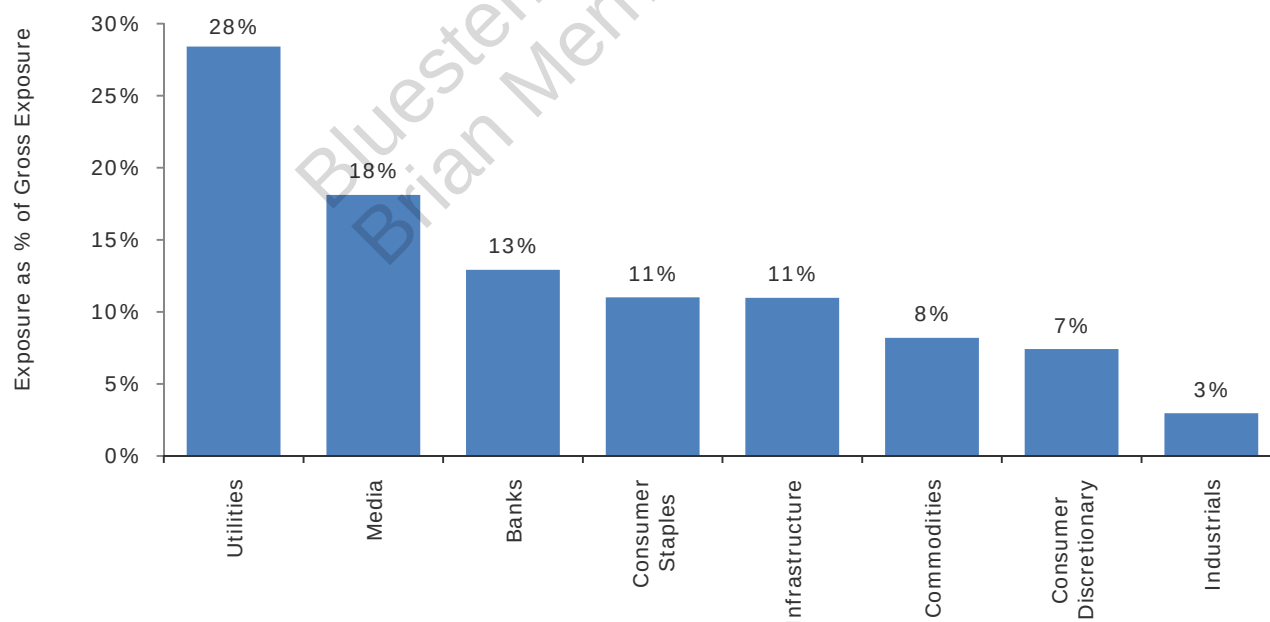
*As measured by the Average Return on Capital Employed over the corporate debt position.

**As measured by the weighted average trade price versus the listed quarter ending price.

Note: The security may not have been held for the entire period and may represent a different P&L change in comparison to the percentage move in local currency. % of Fund NAV includes subscriptions and redemptions at month-end.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

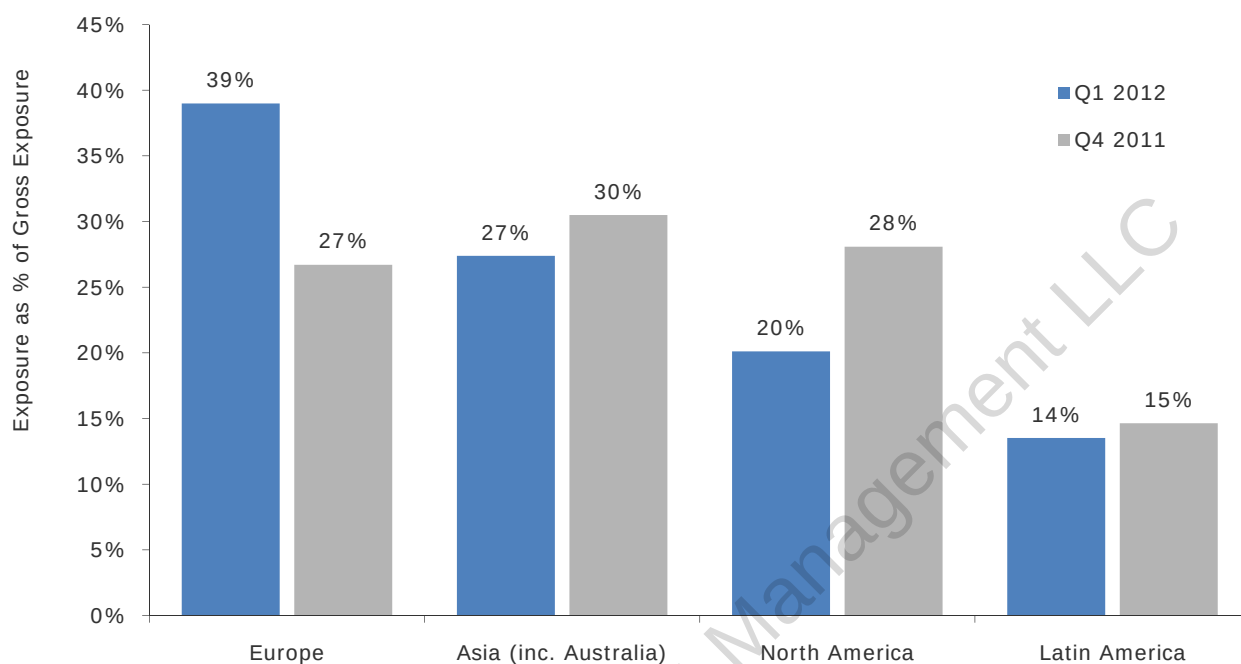
Q1 2012 Portfolio Sector Exposure



Note: Sector exposure breakdown refers to the long and short books, including equity, equity option and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

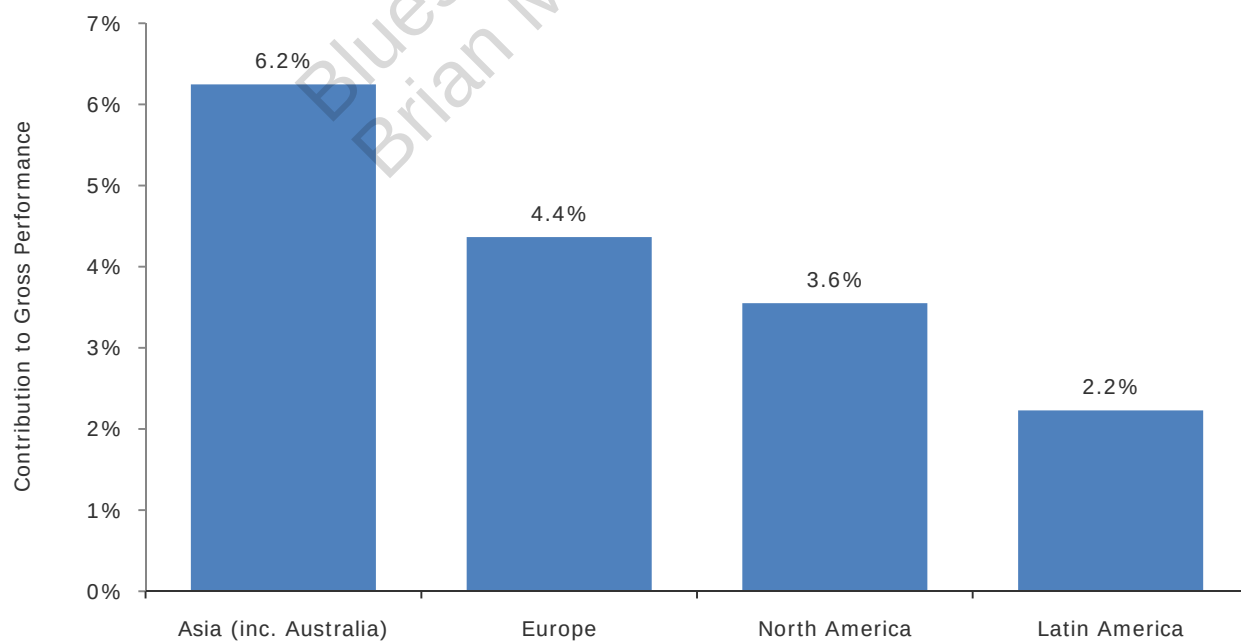
Q1 2012 vs. Q4 2011 Portfolio Geographical Exposure



Note: Figures are re-based to a total of 100 and refer to the long and short books, including equity, equity option and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Q1 2012 Performance Contribution by Geography



Note: Performance contribution figures refer to the long and the short books, including equity, equity options and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Q1 2012 Highest Performance Contributors

Highest Contributors	% Contribution to Q1 2012 Gross Performance
Lloyds Bank bonds	3.7%
Japan Tobacco	3.5%
CESP	2.2%
Walt Disney	1.6%
Coal India	1.5%
NewsCorp	1.5%
QR National	1.3%
Red Electrica	1.2%

Note: Contributors include interest and FX hedging allocations.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Q1 2012 Highest Performance Detractors

Highest Detractors	% Detraction to Q1 2012 Gross Performance
Porsche SE	-0.7%
Athabasca	-0.3%

Note: Detractors include interest and FX hedging allocations.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Portfolio Review for Q1 2012

CESP

In FY11, CESP delivered BRL2bn of EBITDA, BRL1.2bn of equity free cash flow (10% yield), a net debt/EBITDA ratio of 1.8x (vs. a company target of 2.0x) and a dividend yield of 4%. We continue to forecast equity free cash flow of BRL1.4bn in FY12 (12% yield) as low priced contracts re-price and a rapid acceleration of dividends (forecast 9-10% yield).

Recent comments by President Dilma Rousseff to the media confirm that the government wishes to renew the concessions. The industry remains fully engaged with politicians to reach a satisfactory conclusion on terms (for example, price/duration). We expect the São Paulo government to move swiftly to privatise CESP once the concessions have been renewed. Meanwhile, CESP management continues to focus on efficiency improvement and the maximisation of cash flow and dividends.

If the expiring concessions are renewed as we expect (and given CESP's other above-market long term power contracts), then CESP cash flows would have minimal exposure to market power prices and are effectively guaranteed by the whole electricity supply system under which Brazil operates. Hence, their discount rate should be very low. Recent auctions of new electricity transmission projects imply a real cost of equity of around 6% is being bid for assets with low risk cash flows.

In Q1, CESP shares appreciated 11% in local currency terms as the market gained further conviction on concession renewal combined with the defensive attractions of an increasingly efficient utility with the potential for rapid dividend growth. The Real was relatively stable this quarter. We are currently hedged with forward contracts on all of the position.

At the current valuation, we see a very attractive long-term real IRR of 13% and 50-70% upside to fair privatisation value.

Lloyds Bank bonds

Lloyds bonds performed strongly in Q1. The fund's largest position rallied, giving a total return of over 20% in Q1 (including interest). They moved from a 14% yield to maturity at year end to around an 11% yield to maturity. The bank's share price has rallied 38% year to date. The announcement of the ECB's Long Term Refinancing Operation in December to allow European banks to finance at 1% a wide variety of collateral was a powerful catalyst for European bank equity and credit to rally.

90% of the fund's position is in bonds which must pay interest as long as the core tier 1 capital is at least 5% under the Basle II regulatory regime. Around 10% of the position has been held in "may pay" bonds which are only required to pay interest if there is a dividend paid on the common shares. These latter bonds are interesting because they have no tax deductibility of coupons and will not have any capital treatment, so they are just expensive funding. Lloyds confirmed that they would be paying interest on their "may pay" bonds and, as requested by the regulator, the bank issued shares to raise £170m to pay the coupons on these.

In Q1 Lloyds announced 2011 full year results largely in line with our expectations. They reported a core tier 1 of 10.8% (vs. 10.2% in 2010), a net interest margin of 2.2% (vs. 2.1% in 2010). The non-core book continued to significantly reduce to £134bn (down from £183bn in 2010), and we believe that it can continue to bring it down at a run-rate of around £30bn pa for the next 2 years as a result of run off at maturity, asset sales and write-downs.

The bank confirmed that it took £11bn in Long Term Repo Operation finance to be used to fund non-core European assets. Lloyds Bank net exposure to Irish risk is now down to £8.4bn (gross exposure of £24.8bn impaired to 66%). The main remaining component of their continental exposure is now around £6bn of exposure to Spain which comprises mostly mortgages. On the funding side, the annual growth rate in customer deposits was 6%. Loan to deposits is now 135% (down from 154% in 2010). Impairments also continue to decrease: £9.8bn in 2011 against £13.3bn in 2010 but, more importantly, impairments in the core book accounted for only £2.9bn vs. £3.6bn in 2010. Impairments were down across all divisions, proving the increasing quality of the loan book. We believe that the core business has to a large degree normalised in asset quality and provisioning.

Despite the challenges of limited growth in the UK economy and close to zero interest rates, we remain confident that the credit strength of Lloyds will continue to improve. Lloyds will carry on enhancing its capital base, generating profits, and reducing its impairments charges. The bank generates around £10bn of pre provision profits a year giving it strong earnings power to clean up and deleverage the rest of its non-core book.

Japan Tobacco

Japan Tobacco (JT) had a great start of the year with the stock up 29% in Japanese Yen terms in Q1.

The company reported a strong set of numbers for the third quarter fiscal year ending March 2012. JT's domestic tobacco business EBITDA was up 15% yoy as volumes were better than expected (+47% yoy) and costs were lower than expected. Although JT's domestic market share is still 1% below its 60% guidance, market volumes are greater than anticipated and, more importantly, average selling prices are starting to edge up due to positive mix effects. JT's international tobacco business also performed better than expected, with average selling prices up 8.3% in constant currency terms last quarter. In 2011 JT's international business grew revenue 8% and EBITDA 16%.

The government currently holds 50% (5m shares) of JT's outstanding stock. Legislation passed in November to finance reconstruction requires the government to sell up to one third of its shares in JT. The government also plans to examine the possibility of selling its remaining shareholdings, suggesting that the full privatization of JT is a future possibility. The government plans to sell JT shares to raise approximately ¥500bn (about 1.1m shares, or approximately 11% of the total

shares outstanding) in order to secure resources to finance reconstruction efforts related to the Great East Japan Earthquake, according to the fiscal 2012 draft budget bill. If the draft budget bill is passed in the Diet session the government will be able to start selling these shares from April. The market is therefore now focusing on how many shares the government will sell and how many of them JT plans to buy back.

We submitted three agenda items for JT's next AGM in June. The first item indicates a dividend of ¥20,000 per share vs. ¥9,000 proposed for the year ending March 2012. The second item proposes a buyback of 1,600,000 shares. Finally, we ask for JT to cancel its treasury shares. We believe that it is hard for the Japanese government to reject our proposals, which are very much in public interest but we will not know until June how they vote.

JT has already become more shareholder friendly since we started our actions in June 2011. Management has indicated they will increase the dividend payout by at least 10% next fiscal year, they will buy back shares even if the government does not dispose part of their stake in JT this year and they will not only give three year guidance on an EBITDA level but will also give three year guidance in April for annual EPS growth. The stock has started to re-rate on the back of these positive developments but it is still trading close to 30% discount to its international peers, despite its strong growth profile relative to them. We estimate that it trades on 12x P/E on current year earnings.

NewsCorp

On our forecasts NewsCorp trades on around 10x FY13 earnings. At the end of the current year the group will still have more than \$10bn of gross cash on the balance sheet and we anticipate free cash flow of at least \$4bn in 2013.

At the operational level, we are entering what we believe to be an extremely strong affiliate and re-transmission consent re-pricing cycle over the coming 2-3 years which should support strong double digit earnings growth.

Combined with a sharp improvement in the earnings mix away from the secularly challenged print and publishing segments and a continued commitment to share buybacks, we think the company can re-rate from the current c.10x to a 13-14x multiple. On a midterm view, with strong earnings growth complemented with ongoing shareholder returns, the share offers 22-25% compounding.

Disney

Disney has performed well this quarter. We had meetings with most of the media company CEOs or CFOs in February, including the CFO of Disney at the beginning of January.

Four factors are important to consider in the current performance and what we expect over the coming year:

1. Most notably, at the end of last year Disney signed a 10 year affiliate contract with Comcast. We believe this agreement incorporates average annual affiliate fee increases for all of Disney's media networks of 7-8% pa. This comes shortly after the agreement with the NFL covering a similar 10 year period which locked in around 6.5% cost increases over the contract life;
2. The dynamics in the park division continue to improve off a very low base. The group has been removing recession related discounts for the last two quarters and, more recently, headline pricing has also accelerated and is currently running at 3-7%;
3. The major portion of the current capex cycle for parks is expected to peak this quarter and should lead to substantially higher margins and free cash flow in the coming quarters;
4. The valuation remains low. The group trades on 12.5x our FY13 EPS forecast, well below history and certainly below what we feel is achievable given the media network and park dynamics we expect for the coming years.

With respect to the affiliate agreement with Comcast, the deal achieves a number of things. First, it is a very strong statement of support for the current industry framework by the ecosystem's two largest players. Second, based on Disney's largest customer (Comcast) and its most powerful supplier (NFL), the contracts envisage 10 years of 8-9% operating profit growth. However, we believe that future affiliate deals with smaller distributors are likely to be at higher prices than those offered to Comcast, and that total cost inflation (including other content costs and SGA) is likely to sum to less than the 6.5% agreed with the NFL. For this reason we think the media networks business has reasonably high visibility on a decade of 10% or more operating profit growth.

In the parks business, in our opinion, the group should see 3-4 years of solid margin expansion (the park operating margin was 13.5% last year compared to 18-20% in recent times and peers achieving well above 20%). Cost and pricing dynamics described above will go a long way to narrow this gap as will the maturing of recently commissioned assets. Fundamentally there is little reason why the Disney US park assets should be such a margin laggard in the sector. We do not forecast a recovery to pre-recession levels but believe the current margin base is well below normalised earnings power, and this provides strong downside support in the more cyclical division of the business.

On a group basis we expect five year average operating profit growth of 11% and EPS growth of 16%. In the short term we think these assets comfortably deserve a 15-16x earnings multiple compared to the current 12.5x, which points to upside over the coming 6-12 months of 25%. Furthermore, given the duration and visibility of the growth, the business can compound at 19-20% midterm with limited re-rating. We see fundamental fair value at \$75-80, which is comfortably supported by earnings power in the next 3-4 years of \$4-5 per share.

QR National

Since the IPO in November 2010, the shares have now appreciated 49% in absolute terms.

In 2012, QR expects AU\$50m savings from the first voluntary redundancy programme (660 people have left the company). Given the slow return to full production due to legacy mine de-watering, QR expects FY12 volumes to be around 15% below the original prospectus forecasts, but a return to normal system throughput in 2013 (around 230mt, up 18%). Excluding estimated one-off restructuring costs of AU\$30m, we now expect EBIT of AU\$600m in 2012 rising to more than AU\$900m in 2013, up 50%, driven by assumed normal volume throughput, cost cutting, retention of improved revenue quality and asset growth.

The functional transformation of the business continues. The organisational structure introduced in late 2011 is very similar to that adopted by the US Class 1 railroads. We expect a second voluntary redundancy scheme larger than the first to be announced later this year and multi-year operational improvements across many aspects of the business. QR has significant upside from higher asset utilisation (in part due to the pre-IPO investment) and workforce optimisation, which over time should help to create additional shareholder value. QR is highly focused on improving service to its key customers, a pre-requisite to building a strong platform for contract re-pricing and growth tonnage.

Management's strategy remains centred on improving business performance and growth through investment. Roughly half of QR's operations comprise the Above Rail business (mainly rolling stock for transport of export coking and thermal coal mined in Queensland and New South Wales). The majority of current coal contracts were signed when QR was government owned at uneconomic returns on capital and QR has already shown the capability to sign "higher price for higher service" contracts.

The growth prospects for QR's Below Rail business (RAB assets) are exceptional. QR has just announced the completion of the AU\$1bn GAPE X50 project, on time and budget, that links the coal-rich Bowen Basin to Abbot Point coal terminal. The Queensland Government has recently announced preferred mining consortia to expand Abbot Point from 50mt in 2012 to 350mt supported by the huge coal resources identified in the Galilee Basin. In addition, there are plans to

develop a new 180mt coal terminal at Dudgeon Point near Mackay (at the heart of QR's Goonyella rail system) and an additional 100mt capacity in the Hunter Valley by 2015 and 200mt by 2020. In Q3, QR achieved financial close on the AU\$900m Wiggins Island Rail Project. We expect the associated Surat Basin Rail project (AU\$1.2-1.5bn rail link and AU\$0.5bn upgrade) to reach financial close by mid-2012. All these projects are expected to deliver attractive returns materially above the company's WACC and underpin solid earnings growth over the medium term.

Given the conservative risk/return profile of RAB assets, they can sustain significantly leveraged balance sheets. However, QR's balance sheet was unlevered at the time of the IPO and at FY11 was only 10% levered versus a long term expectation of 60-70% in the Below Rail business alone. We expect the balance sheet to substantially re-leverage over time. This also offers QR the opportunity to enhance shareholder value through aggressive share buybacks, including a significant proportion of any sell-down of the government's 34% holding which we expect in 2012.

With 7-8% normalised unlevered free cash flow yield, considerable volume and legacy contract re-pricing, we believe QR should compound at above 20% pa medium term returns. Its significant asset backing and very conservative balance sheet limit the downside of the investment. We think that the fair value of the asset is approaching double the current share price.

Porsche SE

Porsche Automobile Holding SE (Porsche) is a new position for the fund. It is a holding company with two principal investments: a 50.1% stake in Porsche AG, the manufacturer of luxury sports cars, and a 32% economic stake (current value €18.7bn) and a 50.8% voting stake in Volkswagen AG. The holding in Porsche AG is subject to a put/call option, which is exercisable for €3.9bn by Porsche and Volkswagen during various windows between 2012 and 2015. The company also has €1.5bn in debt.

In 2009 Porsche and Volkswagen signed a comprehensive agreement that was due to end in a merger of the two companies by the end of 2011. This would have effectively collapsed the shareholding structure of the two companies, uniting them and the Porsche and Piech families into a single entity. However, the merger did not happen due to the uncertainty surrounding several legal cases that have been brought against Porsche in the US and Germany and due to the investigation being conducted by the Stuttgart Public Prosecutor regarding alleged market manipulation by the former management of Porsche. Porsche holds the view that these allegations are without merit and that the claims in the US are inadmissible. The net value of the damages being sought by the plaintiffs now amounts to approximately €5-6bn.

While merger talks were still ongoing, Porsche traded at a negligible discount to its net asset value. But when the merger was called off in September 2011 this discount widened and currently stands at above 30%. We think this discount is too high. In our opinion, the legal claims are likely to be settled for much less than the gross amount disclosed by the company and we also think that – on a 3 year view – there is a good chance that the merger with Volkswagen could once again become a viable way to combine the two companies. Both of these events should result in a closing of the discount. In a merger scenario the NAV is also likely to be higher as the Porsche preference shareholders are likely to get Volkswagen preference shares, which trade at a premium to the ordinary shares owned by Porsche.

However, any resolution of the merger debate and the Porsche AG put/call situation is perhaps more than two years away so, in the meantime, Porsche should trade like a tracking stock to the underlying value of its holding in Volkswagen AG (VW). This is a stock that we think is very attractive.

VW is one of the leading automobile companies in the world. It delivered 8.2m cars and light commercial vehicles in 2011, a figure that was up over 14% on 2010 and compares to the growth in the overall market of 4.8%. Over the last five years, VW's global market share has risen from 9.6% in 2007 to 12.3% in 2011, with consistent share gains every year. Only GM and Toyota produce more cars per year. Its main brands are Volkswagen, Audi, SKODA, SEAT and Bentley and it also owns controlling stakes in the two truck companies, Scania and MAN.

Over 65% of VW's revenues in its auto division come from Europe, a market that is plagued with overcapacity as pressure from labour unions and governments make it very hard for auto companies to close underutilised and loss-making factories. In 2011, car volumes in Europe fell by 1.5%. As a result, European car companies such as Fiat and Peugeot struggled to make a profit. In contrast, VW's car division made a 7.1% operating margin during the same year. VW's excess margins are due to a combination of its scale, its brand (which allows it to price at a premium) and its superior manufacturing techniques. We think all of these factors are sustainable and that the gap between VW and its competitors should widen further as the company continues to invest in R&D, new products and more efficient production.

VW also operates extremely profitable Chinese joint ventures; its share of their operating profit totalled €2.6bn in 2011 (up from €1.9bn in 2010). VW's deliveries in China were up over 17% last year, lifting its market share from 17% to 18% and thereby extending its leading position in the market. VW plans to increase production capacity in China to around 3m vehicles a year and in the next 4 years the company will invest €14bn in the country, an amount entirely funded by the cash flow from the Chinese joint ventures. We think that although current margins in the mid-teens are probably unsustainable they should remain higher than the group average due to the Chinese desire for Western premium brands. Chinese car penetration and especially premium car penetration will continue to grow structurally long term.

We met with the senior management of Porsche and VW during the quarter (both companies have the same CEO and CFO) and we gained confidence in the long term strategy of both companies.

For VW 2012 will be dominated by the need to convert its plant and equipment for use with its Modular Transverse Toolkit (the so-called MQB production system). MQB will standardise many aspects of the company's production platforms across many of the models in its portfolio. The goal is to convert 2m units onto the new system by 2014 and 4m units by 2015. This will result in 20% savings on the targeted cost base, of which half will be reinvested in new features and half will be kept by the company (and hence directly contribute to margin expansion). This half is estimated by the company to be over €3bn. The project will require higher near term capex and VW will also need to expense around €2bn this year in MQB related costs, yet despite this management still expect operating profits in 2012 to be flat or higher than in 2011. This reflects significant resilience in the underlying business considering the continued pressures from the weak economic environment.

On a longer term view we also expect to see accretion from the further integration of Porsche AG, MAN and Scania. VW could use its huge annual free cash flow of more than €8bn to increase its ownership of these key assets and the expected synergies from these transactions would provide a substantial tailwind to earnings.

We think that the VW's earnings potential could be in excess of €25 per share by 2014/15, which would give us a target price of €200 and an IRR of 16% (including dividends). This translates into a 3 year IRR of over 30% in Porsche, assuming the litigation is settled for €1bn and the merger with VW is reinstated. Even without a merger a 25% IRR is feasible over 3 years. The look through P/E on 2014 EPS of Porsche is only 3.5x.

Red Electrica

Red Electrica reported strong FY11 results with a 21% increase in EBITDA driven by assets brought into operation (€820m) and cost control, and an 18% increase in headline EPS (to €3.4 per share) and dividend per share (to €2.2 per share). Net debt declined modestly to €4.7bn (market EV gearing of 50%), due to strong free cash flow despite high capex and dividend payments. The company also confirmed its medium term guidance for EPS growth of at least 12% pa to 2015, a 65% dividend payout ratio and average annual capex of €800m pa.

The balance sheet remains comfortable, with facilities in place (including a €600m facility from the European Investment Bank) to cover maturities in 2012 and 2013. The 65% dividend payout ratio is well underpinned and on this basis, we forecast net debt/EBITDA to gradually fall to 3x.

The draft National Energy Plan implies that priority capex could average €1bn pa. However, given the current economic climate, we believe that Red Electrica's estimate of €800m pa is reasonable. High capex is good for earnings growth and protection against regulatory change.

Red Electrica also announced that existing Board member José Folgado will replace Luis Atienza as Chairman and CEO. José Folgado is closely aligned to the new Government, the Partido Popular (PP), and is an ex-Minister of Energy. We believe that this change will enhance Red Electrica's relationship with the PP, which in turn should reduce regulatory risk.

The government has a significant challenge to restore Spain's economic health. Evidence to date reinforces our conviction that the government is driving hard to reduce Spain's current account deficit, deliver fiscal and structural reform (tax, banking, labour, pensions) and reduce unemployment. Spanish 10 year bond yields have increased to 5.8%.

The government is keen to resolve the electricity Tariff Deficit, which has accumulated over a number of years through inadequate price increases to final customers. While Red Electrica is not directly affected (it is mandatory that Red Electrica must be paid first in order to remunerate the investments made), we expect the company to play its part through, for example, modest tightening of regulatory efficiency factors. Given the potential for cost cutting, management expects to be able to offset any such adjustment, and hence felt very comfortable reiterating its medium term guidance.

In addition, recent statements by the Ministers of Industry and Energy reinforce the government's pro-investment stance and its lack of appetite for retroactive regulatory change, given the significant deterrent to such investment. Our conversations with advisors to the PP make us confident that Robin Hood taxes and retroactive regulatory changes are unlikely.

Red Electrica trades on calendar 2012 P/E of only 8.5x and a dividend yield of 7.4%. On current growth expectations, 2013 P/E falls to 8x and dividend yield of 8%. This compares with equivalent defensive utilities in the US and UK that trade on 13-16x 2013 with only mid single digit long term growth rates.

In Q1, Red Electrica shares appreciated 11%. We continue to think that the stock can deliver a 3 year and 5 year total return of around 25% pa and around 50% upside to fair value.

Enagas

Enagas also reported strong results in FY11. EBITDA grew by 13% driven by assets brought into operation (€780m) and cost control, and EPS increased by 9% (to €1.5 per share). Given the increase in payout ratio to 65% (70% for 2012+), dividend per share increased by 18% (to €2.2 per share).

Our post results conversations with the CEO and senior management confirm our conviction that Enagas can deliver average annual EPS growth of around 8% to 2015, a 70% dividend payout ratio and average annual capex of €500-600m pa to 2014. Thereafter, an expected fall in capex should allow the company to achieve its ambition of a 75-80% dividend payout ratio.

The draft National Energy Plan suggests that Enagas' forward capex programme and returns should evolve in line with our expectations. The PP is keen to encourage the development of a Southern European gas hub and over the medium term, link this to the Northern European gas market. This would be positive for Enagas capex long term.

Enagas trades on calendar 2012 P/E of only 8.6x and a dividend yield of 8%. On current growth expectations, 2013 P/E falls to 8x and dividend yield of 9%.

In Q1, Enagas shares appreciated 1%. In our opinion, the stock can deliver a 3 year and 5 year total return of around 20% pa and around 50% upside to fair value.

Coal India

Coal India Ltd (CIL) reported rather disappointing sales volumes for the quarter ending December 2011 flat yoy. A key bottleneck remains the availability of train wagons, which is now being addressed under pressure of the Prime Minister's Office. More importantly, average selling prices were better than expected driven by higher than expected e-auction prices, up 55% yoy.

We have increased the pressure on management, the Board of CIL and the Ministry of Coal to improve corporate governance and stop the abuse of minority shareholders in under pricing its coal sales. We received strong evidence under the Right to Information (RTI) Act 2005 that the Board was instructed by the Ministry of Coal to reverse the price hikes which were introduced early January 2012. We believe the Board of CIL is not functioning properly and failed to comply with its fiduciary duty to be independent. TCI has launched a website www.coal4india.com in order to increase pressure on management and gain greater support for our actions to improve governance.

TCI has served notice on the Government of India that it considers the Government's recent conduct in relation to CIL to be in breach of various provisions of the Cypriot and UK Bilateral Investment Treaties with India, including India's obligation to accord TCI's investment in CIL fair and equitable treatment and not to subject TCI's investment in CIL to measures having the effect equivalent to expropriation. TCI has also announced it has instructed its Indian lawyers, Luthra & Luthra, to begin the process of bringing legal proceedings against CIL and its board of directors.

Coal India is effectively subsidizing the (private) power sector and forced to continue to operate loss-making underground mines as FSA coal prices are at 70% discount to international coal market prices. By not acting in the interest of the company, the Board of Coal India is effectively destroying a huge amount of value which affects the people of India the most given that the government owns 90% of the company.

Please see The Economic Times recent interview with CIL's new chairman, Mr. Rao by clicking on the following link: [Interview with Coal India's new Chairman](#). Also refer to Attachment 1 of this letter for the TCI presentation entitled "Cheap coal does not benefit the Indian people".

Union Pacific

The position in Union Pacific (UP) is currently 2% of fund's NAV.

During the quarter we went to Washington to meet with senior figures involved in the regulation of the railroad industry. We met directors, lawyers and economists at the Surface Transportation Board (STB). We met the President of the Association of American Railroads, advisors to Congressional members of the transportation committee, the CEO of the National Industrial Transportation League and several lawyers who represent shippers in rate cases. We came away encouraged that the regulatory system should remain stable and benign for the railroads. The main risk is that the STB starts to investigate whether some form of restricted reciprocal switching is viable in the US, a system that already exists in Canada and that has not had a major impact on rail profitability. Despite this all signs point to the maintenance of the status quo for at least the next two years.

We also had meetings with the managements of most of the North American railroads, including the CFO of UP. The major concern that has arisen with all the rails recently is the acceleration in the deterioration of the coal business that has occurred this quarter. The reasons for this are twofold and partly related. First of all, January and February in the US were two of the warmest ever recorded, which led to a significant decline in heating days and hence in electricity usage in general. Secondly, the increase in shale gas production has caused a huge decline in the US natural gas price, resulting in utilities switching generation from coal to gas. This initially impacts the Eastern railroads, as they ship expensive and dirty Eastern coal which makes switching profitable at higher gas prices. UP ships coal from the powder river basin, which is cheaper and cleaner and hence profitable for utilities to use at lower gas prices. However, during Q1 the natural gas price, which had already fallen 37% in 2011, has fallen a further 28% year to date to

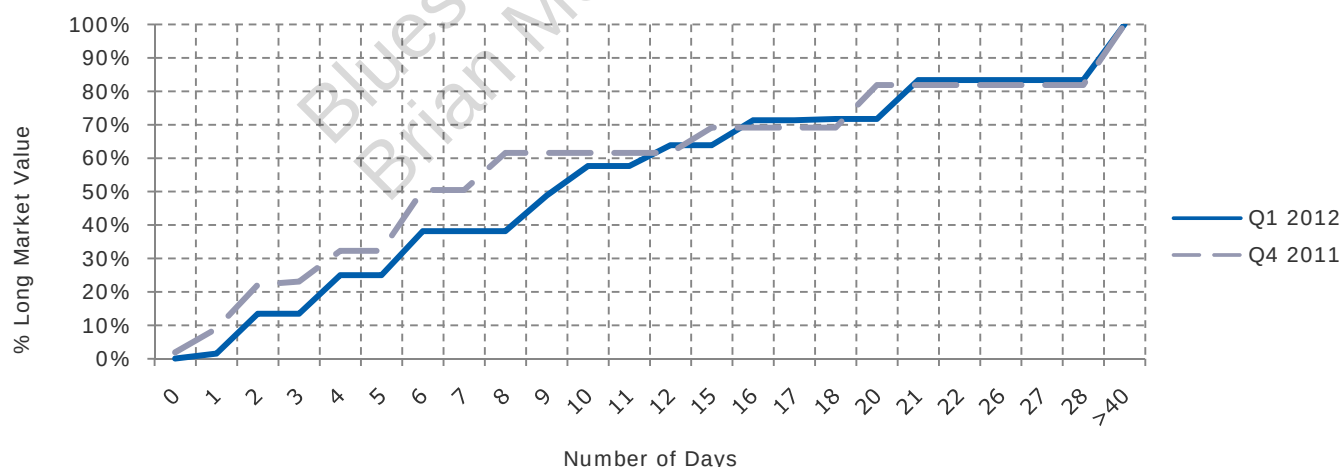
\$2.22. At these levels, we estimate that gas switching could impact UP's coal volumes by up to 20%. This is clearly not a positive development.

However, coal represents only about 20% of UP's revenues and the business has a lower revenue per carload than the corporate average. The company also has several mitigating factors that should help to offset the steep declines being seen in its coal volumes:

1. The fall in the gas price has occurred partly due to the rapid rise in shale exploration. This benefits UP because it has exposure to all of the main shale plays in the US. It ships the steel pipes, drilling equipment and frac sand into the shale areas, and then ships the oil out. In mid-2010 UP began moving crude oil shipments from the Bakken formation in North Dakota to facilities in Louisiana. This new business, along with shipments from the Eagle Ford shale formation in Texas, contributed to a 37% increase in shipments of petroleum products during 2011. The company estimates that its shale related carloads will increase by around 200,000 this year, around 2% of UP's total annual carloads of 9m. Moreover, it is highly profitable business;
2. The low natural gas price makes US chemical producers much more competitive in the global market. UP has the primary franchise in the main Gulf Coast chemical producing region. Chemical carloads were up 9% in 2011 and are up 9% year to date in 2012. This is also very profitable business;
3. Where feasible some Eastern coal plants that currently use Appalachian coal will switch to cleaner powder river basin coal, which will benefit UP, and UP will also begin to ship some coal for export out of new facilities being developed on the West coast.

So, while we remain watchful of developments in coal to gas switching, we think that even on our lowered numbers UP should still be able to grow earnings by over 16% this year and produce a medium term IRR of 15%.

Liquidity Analysis



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg LP assuming 100% of trading. Analysis is based upon long equity and equity swap positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Market Capitalisation of Portfolio as at End of Q1 2012

<\$5bn	9%
\$5bn - \$10bn	36%
>\$10bn	55%

Notes: Analysis is based upon long equity and equity swap positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

Outlook

In our Q4 2011 letter I made the point that persistent zero and negative real rates were a powerful catalyst for flows into equities. I still believe this to be the case and one aspect of this is that even if equities are viewed as fair value, the bond markets in the G3 would appear to have significant downside potential which could result in flows of money out of bonds and into equities. This point is made very well in a letter which we have attached with permission by O'Shaughnessy Asset Management. They also make the further important point that in a low return environment dividend yield is typically a critical determinant of total returns.

With Japan Tobacco and CESP we expect substantial increases in dividends and with our Spanish utilities we already have an average dividend yield of around 8%. GDF Suez, where we have sold puts at a strike price offering a 9% dividend yield, currently yields 8%.

As always our focus is on bottom up stock picking where we remain very optimistic in the long term prospects for our holdings.

Personnel

Jonathan Amouyal joined TCI in Q1 as an analyst. Jonathan has over eight years experience, most recently at Goldman Sachs in London where he worked in identifying and analysing investment opportunities across the capital structure in both public and private markets.

Investor Relations

Q1 2012 Investor Conference Call

The Q1 investor conference call will take place Wednesday, 18th April 2012 at 16:00 BST. Investors wishing to attend the call are kindly asked to register using the invitations that have already been distributed.

To ensure an effective coverage of all your questions, investors attending the call are kindly asked to submit their questions in advance (by Monday, 16th April 2012) to the following email address:

✉ irteam@cliffordstreet.com

2012 Investor Conference

As a gentle reminder, the 2012 Investor Conference for TCI and affiliates will take place at the Mandarin Oriental Hotel in New York from Wednesday, 27th to Thursday, 28th June 2012. The TCI presentation will be on Wednesday, 27th June 2012.

Invitations will be sent to investors shortly. As always, we hope to see as many of you as possible. Please kindly note that to attend the event, registration is required.

Christopher Cooper-Hohn

Managing Partner
April 2012

Attachments:

- 1) TCI presentation – "Cheap coal does not benefit the Indian people"
- 2) "Stocks, Bonds, and the Efficacy of Global Dividends" research report, O'Shaughnessy Asset Management, LLC